# Guidelines and Instruction for BIR Form No. 2551Q [January 2018 (ENCS)]
# Quarterly Percentage Tax Return

## Who Shall File

This return shall be filed in triplicate by the following:

1. Persons whose gross annual sales and/or receipts do not exceed P3,000,000 and who are not VAT-registered persons.
2. Domestic carriers and keepers of garages, except owners of bancas and owners of animal-drawn two wheeled vehicle.
3. Operators of international air and shipping carriers doing business in the Philippines.
4. Franchise grantees of gas or water utilities.
5. Franchise grantees of radio and/or television broadcasting companies whose gross annual receipts of the preceding year do not exceed Ten Million Pesos (₱10,000,000.00) and did not opt to register as VAT taxpayers.
6. Franchise grantees sending overseas dispatch, messages or conversations from the Philippines, except on services involving the following:
   a) Government of the Philippines - for messages transmitted by the Government of the Republic of the Philippines or any of its political subdivisions and instrumentalities;
   b) Diplomatic services - for messages transmitted by any embassy and consular offices of a foreign government;
   c) International organizations - for messages transmitted by a public international organization or any of its agencies based in the Philippines enjoying privileges and immunities pursuant to an international agreement; and
   d) News Services - for messages from any newspaper, press association, radio or television newspaper, broadcasting agency, or newsticker services to any other newspaper, press association, radio or television newspaper broadcasting agency or newsticker services or to bonafide correspondents, which messages deal exclusively with the collection of news items for, or the dissemination of news items through, public press, radio or television broadcasting or a newsticker service furnishing a general news service similar to that of the public press.
7. Proprietors, lessees or operators of cockpits, cabarets, night or day clubs, boxing exhibitions, professional basketball games, jai-alai and racetracks.
8. Banks, non-bank financial intermediaries and finance companies.
9. Life insurance companies.
10. Agents of foreign insurance companies.

Provided that cooperatives shall be exempt from the three percent (3%) gross receipts tax

## When and Where to File and Pay

The return shall be filed and the tax paid within twenty-five (25) days after the end of each taxable quarter. Provided, however, that with respect to non-large and large taxpayers who shall file through the Electronic Filing and Payment System (EFPS), the deadline for electronically filing the return and paying the taxes due thereon shall be in accordance with the provisions of existing applicable revenue issuances.

The return shall be filed and the tax paid with the Authorized Agent Bank (AAB) of the Revenue District Office (RDO) where the taxpayer is required to register/conducting business. In places where there are no AABs, the return shall be filed and the tax paid with the Revenue Collection Officer (RCO) of the RDO where the taxpayer is required to register/conducting business, who will issue an Electronic Revenue Official Receipt (eROR) therefor.

When the return is filed with an AAB, taxpayer must accomplish and submit BIR-prescribed deposit slip, which the bank teller shall machine validate as evidence that payment was received by the AAB. The AAB receiving the tax return shall stamp mark the word "Received" on the return and also machine validate the return as proof of filing the return and payment of the tax by the taxpayer, respectively. The machine validation shall reflect the date of payment, amount paid and transactions code, the name of the bank, branch code, teller's code and teller's initial. Bank debit memo number and date should be indicated in the return for taxpayers paying under the bank debit system.

Payments may also be made thru the epayment channels of AABs thru either their online facility, credit/debit/prepaid cards, and mobile payments.

A taxpayer may file a separate return for the head office and for each branch or place of business/office or a consolidated return for the head office and all the branches/offices. In the case of large taxpayers only one consolidated return is required.

## Basis of Tax

The tax is based on gross sales, receipts or earnings except on insurance companies where the basis of tax is the total premium collected/paid.

"Gross receipts" means all amounts received by the prime or principal contractor, undiminished by any amount paid to any subcontractor under a subcontract arrangement.

For the purpose of the amusement tax, the term "gross receipts" embraces all the receipts of the proprietor, lessee or operator of the amusement place. Said gross receipts also include income from television, radio and motion picture rights, if any.

## Penalties

There shall be imposed and collected as part of the tax:

1. A surcharge of twenty-five percent (25%) for the following violations:
   a. Failure to file any return and pay the amount of tax or due on or before the due date;
   b. Filing a return with a person or office other than those with whom it is required to be filed, unless otherwise authorized by the Commissioner;
   c. Failure to pay the full or part of the amount of tax shown on the return, or the full amount of tax due for which no return is required to be filed on or before the due date;
   d. Failure to pay the deficiency tax within the time prescribed for its remittance in the notice of assessment.
2. A surcharge of fifty percent (50%) of the tax or of the deficiency tax, in case any payment has been made on the basis of such return before the discovery of the falsity or fraud, for each of the following violations:
   a. Willful neglect to file the return within the period prescribed by the Code or by rules and regulations; or
   b. A false or fraudulent return is willfully made.
3. Interest at the rate of double the legal interest rate for loans or forbearance of any money in the absence of an express stipulation as set by the Bangko Sentral ng Pilipinas from the date prescribed for remittance until the amount is fully remitted: Provided, That in no case shall the deficiency and the delinquency interest prescribed under Section 249 Subsections (B) and (C) of the National Internal Revenue Code, as amended, be imposed simultaneously.
4. Compromise penalty as provided under applicable rules and regulations.

## REQUIRED ATTACHMENTS

1. Certificate of Creditable Tax Withheld at Source, if applicable;
2. Duly approved Tax Debit Memo, if applicable;
3. Copy of Certificate of Registration issued by Cooperative Development Authority for cooperatives and from the National Electrification Administration for electric cooperatives;
4. For amended return, proof of the payment and the return previously filed.

## Note: All background information must be properly filled out

- The last 5 digits of the 14-digit TIN refers to the branch code
- Non-VAT Individual Taxpayers subject to Percentage Tax under Section 116 of the Tax Code, as amended, and whose gross sales/receipts and other non-operating income do not exceed the VAT threshold has the option to be taxed at either the:
  1. Graduated Income Tax rates (with this, deduction may either be the Itemized or OSD); OR
  2. 8% flat Income Tax rate in lieu of the graduated income tax rates and percentage tax under Section 116 of the Tax Code, as amended.
- All returns filed by an accredited tax agent on behalf of a taxpayer shall bear the following information:
  A. For Individual (CPAs, members of GPPs, and others)
     a.1 Taxpayer Identification Number (TIN); and
     a.2 BIR Accreditation Number, Date of Issue, and Date of Expiry.
  B. For members of the Philippine Bar (Lawyers)
     b.1 Taxpayer Identification Number (TIN);
     b.2 Attorney's Roll Number;
     b.3 Mandatory Continuing Legal Education (MCLE) Compliance Number; and
     b.4 BIR Accreditation Number, Date of Issue, and Date of Expiry.